EXECUTIVE SUMMARY

A. Introduction

Peñablanca is one of the 29 towns of Cagayan. It is approximately 9 kilometers road distance to Tuguegarao City. It has a total land area of 119,320 hectares with 24 barangays.

Peñablanca means "white rock" named after the beautiful drift of Callao Caves of which the Municipality takes pride.

The Municipality's vision is to be a premier eco – tourist destination of the country that guarantees not only the sustainable growth and development of Peñablanca but also to ensure the optimum preservation and protection of the environment with people living in an improved quality of life dignity and good moral values distinct only to the Filipinos.

To fulfill this vision, the Municipal Government program is centered on the provision of basic services, through enhancement of productivity on agricultural sector, electrification of remote barangays, promotion of optimal use of available resources through cooperatives, full support on social and health programs centered on the poor of Peñablanca.

The audit covered the year 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

B. Operational and Financial Highlights

B.1. Program, Projects and Activities completed in CY 2021

The following infrastructure projects charged under the different sources of funds of the Municipality of Peñablanca were completed in CY 2021:

Programs/Projects/activities	Location	Total Cost Incurred
20% Development Fund		
1. Concreting of Portion of Manga-Minanga Main Barangay Road.	Minanga, Peñablanca	₱3,442,800.06
2. Construction of Quibal-Buyun Curilao Road (Road Opening Phase III)	Buyun, Peñablanca	14,791,104.69

Programs/Projects/activities	Location	Total Cost Incurred
3. Construction of Danna-Alitontong Road at Manga (Road Opening)	Manga, Peñablanca	9,714,116.16
4. Construction of Cabasan-Pallay Road (Road Opening Phase III)	Cabasan, Peñablanca	3,949,319.15
5. Repair and Maintenance of CABICA Water Supply System	Cabasan, Peñablanca	997,362.00
6. Concreting (CHB Wall) of Perimeter Fence of Police Station	Centro, Peñablanca	697,912.89
7. Rehabilitation of Barangay Road (Zone 7)	Cabbo, Peñablanca	797,938.86
8. Construction of Drainage System	Centro, Peñablanca	487,821.88
9. Repair/Improvement of Peñablanca Public Market Stalls	Camasi, Peñablanca	1,039,050.38
10. Construction of Kitchen/Bunkhouse at Manga Evacuation Center	Manga, Peñablanca	521,151.01
11. Concreting of Portion of Cabasan-Pallay Road	Cabasan, Peñablanca	3,932,904.13
12. Improvement of Sitio Santor Road Realigned to Concreting of Portion of Main Barangay Road at Purok 1 of Minanga.	Minanga, Peñablanca	3,429,715.59
Trust Fund (LGSF)		
1. Repair/Rehabilitation of Barangay Roads	Bugatay, Peñablanca	1,615,514.75
Trust Fund (DOH)		
2. Expansion/Upgrade/Repair/Improvement of Barangay Health Station	Manga, Peñablanca	747,090.61

For social services the Municipality of Amulung implemented the following programs/projects/activities for CY 2021:

Project/Program/Activity	No. of beneficiaries	Total Amount
Assistance to Individuals in Crisis Situation (AICS)	737	3,952,000.00
Day Care Service Program	1,257	2,160,000.00

For CY 2021 the financial information of the Municipality is presented below:

Accounts	2021	2020	Increase/ (Decrease)
Assets	598,191,276.14	539,460,132.58	58,731,143.56
Liabilities	14,107,436.68	15,995,732.48	(1,888,295.80)
Government Equity	584,083,839.46	523,464,400.10	60,619,439.36
Income	383,829,078.73	386,232,657.75	(2,403,579.02)
Expenses	324,040,558.18	300,164,466.03	23,876,092.15
Appropriation	429,758,566.39	456,107,070.87	(26,348,504.48)
Obligations	374,226,299.07	343,063,345.49	31,162,953.58

The funds received by the LGU and funds transferred to other agencies 1and non-government and people's organizations for CY 2021, with comparative figures for CY 2020, are shown below:

Fund Transferred to Other Agencies	2021	2020	Increase/ (Decrease)
Local Gov't Units	230,400.00	266,400.00	(36,000.00)

Fund Transferred from Other Agencies	2021	2020	Increase/ (Decrease)
Nat'l Gov't Offices	21,254,017.15	68,152,914.61	(46,898,897.46)
Local Gov't Units	-	100,000.00	(100,000.00)

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Peñablanca as of December 31, 2021 due to the following:

1. Various supplies procured totaling to ₱30,018,045.86 were recorded as outright expenses, instead of initially recording the same to the appropriate inventory accounts and record as expense only upon issuance to end-user, contrary to Section 114 of Volume I The New Government Accounting System Manual (NGAS) for Local Government Units (LGU), thus increasing the risk of possible misstatement of the financial statements and loss of inventory.

2. The reliability of the balances of Property, Plant and Equipment (PPE) accounts as of December 31, 2021 could not be ascertained due to:

a. The Report on the Physical Count of Property, Plant and Equipment (RPCPPE) as of December 31, 2021 submitted by the Municipal General Services Office was incomplete and not in the prescribed format, contrary to Section 124, Chapter 7 of the Manual on New Government Accounting (MNGAS) for LGUs, Volume I, thus, the balances PPE accounts recorded in the books could not be easily reconciled with the RPCPPE.

b. Unserviceable PPE amounting to P9,876,221.47 were not yet disposed contrary to Section 79 of Presidential Decree (PD) No. 1445, resulting in further deterioration of the assets and depriving the Agency of any benefit or income that may be derived from its disposal. Moreover, the unserviceable PPE were not yet derecognized in the books, affecting the fair presentation of the PPE accounts in the financial statement.

c. The general/subsidiary ledgers and the lapsing schedule of the PPE were not submitted by the Accounting Office contrary to Section 4(e) of the New Government Accounting System (NGAS), for LGUs, Volume I and Paragraph 27 of International Public Sector Accounting Standard (IPSAS), thus, the reliability of the balances of the PPE accounts could not be verified.

3. Outstanding checks for General Fund, Special Education Fund and Trust Fund amounting to ₱1,062,170.91, ₱24,540.90 and ₱3,000.00, respectively, have been stale for more than six months to seven years but were not reverted to Cash in Bank account, contrary to Section 97 of Presidential Decree (PD) 1445 and Section 59 of the Manual on New Government Accounting System (MNGAS) for LGUs, Volume I.

D. Summary of Significant Observations and Recommendations

1. Eight or 40% of 20 projects funded out of the CY 2021 20% Development Fund, were not implemented as of December 31, 2021, which is not in accord with Item 5 of DILG DBM Joint Memorandum Circular No. 2017-1, resulting in the non-delivery of the desired socio-economic development and environmental outcomes of the Municipality.

We recommended that the Management implement the projects as planned in order to maximize the utilization of the projects and to ultimately achieve the socio-economic developments and environmental outcomes of the Municipality. We also recommend that the Management identify and immediately address the causes of delay to avoid the late implementations of projects.

2. Savings derived from the implementation of 12 projects under 20% Development Fund CY 2021 totaling to ₱2,628,050.53 as of December

31, 2021 were not reverted to the unappropriated surplus contrary to Section 322 of RA 7160, thus depriving the LGU constituents of the possible benefits they can derive from the utilization of the fund.

We recommended that Management instruct the Municipal Budget Officer to review the unexpended balances pertaining to CY 2021 20% Development Fund appropriation in the amount of ₱2,628,050.53 and revert the same for appropriation to other development projects.

3. **The actual amounts presented in the Statement of Comparison of Budget and Actual Amounts (SCBAA) were not reconciled with the corresponding component of the financial statements. Moreover, the reconciliation of the SCBAA and the Statement of Financial Performance was not presented in the Notes to Financial Statements, which is not in keeping with Section 80, Chapter 4 of the New Government Accounting System (NGAS), Volume I and COA Circular No. 2016-004 dated September 30, 2016, thus, casting doubt on the reliability of the affected accounts in the financial statement.**

   We recommended that the Municipal Accountant ensure that the amounts presented in the Statement of Comparison of Budget and Actual Amounts reconciles with the corresponding component of the financial statements. Likewise, the Reconciliation of Statement of Comparison of Budget and Actual Amounts and the Statement of Financial Performance should be disclosed in the Notes to Financial Statements to ensure the accuracy of the balances presented therein.

E. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2021:

Particulars	Beg. Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	3,021,482.67	0.00	0.00	3,021,482.67	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**3,021,482.67**	**0.00**	**0.00**	**3,021,482.67**	**0.00**
Disallowances					
Prior Years	123,608.00	205,859.03	93,459.03	236,008.00	28.37%
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**123,608.00**	**205,859.03**	**93,459.03**	**236,008.00**	**28.37%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**0.00**	**0.00**	**0.00**	**0.00**	**0.00**

F. Status of Implementation of Prior Year's Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2020 Annual Audit Report are summarized as follows:

Implemented		12
Not Implemented	3	
Not Implemented and Reiterated in CY 2021 AAR	4	7
Total		**19**